

Nirman Trust-II 03 2025

Originator: IKF Home Finance Limited

November 24, 2025

Instrument [#]	Amount (₹ crore) [@]	Balance Tenure (months) [*]	Credit Enhancement [§] (₹ crore)			Rating ¹	Rating Action
			Cash Collateral	Subordination			
				Over Collateral	Equity Tranche PTCs		
Series A PTCs	32.16	220	3.12	1.26 [^]	1.95	CARE AAA (SO)	Reaffirmed
Equity Tranche PTCs	1.95				-	CARE AA (SO)	Reaffirmed

Details of instruments/facilities in Annexure-1.

[#]The Series A pass-through certificates (PTCs) are rated based on the timely payment of interest and the payment of principal on or before the final legal maturity date. The Equity Tranche PTCs are rated based on ultimate interest until the Series A PTCs are outstanding and timely interest post redemption of Series A PTCs, and ultimate principal payment on or before the final legal maturity date.

[@]After October 2025 payout.

[§]Excess Interest Spread (EIS) shall be used to prepay the Series A PTCs on a monthly basis until the Series A PTCs are fully redeemed.

^{*}Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.

[^]There has been build Up of Over collateral due to Turbo amortization.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has reaffirmed ratings of Series A PTCs and Equity Tranche PTCs issued by Nirman Trust-II 03 2025, backed by home loan receivables originated by IKF Home Finance Limited (IKFHFL), at 'CARE AAA (SO)' (pronounced as Triple A [Structured Obligation]) and at 'CARE AA (SO)' (pronounced as Double A [Structured Obligation]), respectively.

Reaffirmation in ratings is primarily based on performance of underlying loans over last seven months post-securitisation, robust legal structure, well-defined payment mechanism, significant build-up in cash collateral (CC) and over collateral (OC) as a percentage of balance amount of pass-through certificates (PTCs), subordination of Equity Tranche PTCs (only for Series A PTCs) and excess interest spread (EIS), servicing capability and overall performance of IKFHFL.

Rating sensitivities: Factors likely to lead to rating actions

For Series A PTCs:

None

For Equity Tranche PTCs:

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ days past due [DPD] as percentage of initial Pool principal outstanding [POS]) of less than 2% and the sustained high collection efficiency (cumulative collection efficiency of over 98%).
- Build-up of CC of over 2x the initial proposed (CC; as a percentage of the balance POS).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD as percentage of initial Pool POS) of over 5% and the sustained lower collection efficiency (cumulative collection efficiency of less than 90%).
- Deterioration in the credit profile of the originator.
- Utilisation of CC.
- Non-adherence to key transaction terms envisaged at the time of the rating.

¹Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Analytical approach

The rating reaffirmation is based on inter alia, observed and expected performance of pool, presence of credit enhancement (CE) and adherence to the transaction structure.

Detailed description of key rating drivers

Pool Performance:

The pool has amortised by ~9% in seven months post-securitisation, with nil utilisation of CC. The pool has exhibited nil (90+DPD) delinquencies. As on October 2025, overdue (OD) (as a percentage of the initial POS) is 0.02%. The CE available is sufficient to sustain ratings for the balance tenure.

Pool summary (as of Oct-25 payout)	
Months post-securitisation	7
Pool amortisation	9.36%
30+ delinquency (percentage of the initial pool POS)	0.19%
90+ delinquency (percentage of the initial pool POS)	0.00%
Overdue amount (percentage of the initial pool POS)	0.02%
Cumulative Collection Efficiency [CCE]	99.81%
CC (percentage of the balance PTC POS)	9.15%
Cumulative prepayments	7.49%

Key strengths

- CC as a percentage of PTC POS is ~9%, which remains unutilised, and subordinated Equity Tranche PTCs (Only for Series A PTCs), which is ~6% as percentage of Series A PTC POS.
- Build-up of OC of ~4% (as percentage of balance pool POS).
- Cumulative collection efficiency stands at ~99%.
- The pool has performed on expected lines for seven months (post-securitisation) and has amortised ~9%.
- Well-defined payment mechanism and adherence to the transaction structure.
- The 90+ DPD in the pool is nil (as percentage of initial pool POS).

Key weakness

- High concentration with the top three states accounting for ~84% (as percentage of balance pool POS).
- High borrower concentration with top 10 borrowers accounting for ~11% (as percentage of balance pool POS).

Liquidity: StrongInherent liquidity in the structure is strong for Series A PTC and Equity Tranche PTC. Interest payouts for Series A PTCs are promised monthly, and post redemption of Series A PTCs, interest payouts for Equity Tranche PTCs are promised too monthly while the principal of Series A PTCs and Equity Tranche PTCs is promised to be paid by final legal maturity. In case of delinquency, payouts are expected to be supported by CC (in the form of fixed deposits [FDs]), OC, principal subordination in the form of subordinated Equity Tranche PTCs (Only for Series A1 PTCs) and EIS.

Key rating assumptions and adequacy of credit enhancement:

CareEdge Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to credit quality of underlying pool, CareEdge Ratings has analysed performance of pool and overall portfolio performance of originator. Considering borrower profile and nature of loan, pool characteristics and portfolio performance, CareEdge Ratings has taken the average shortfall from 4.00% to 5.00% of the POS. Base case shortfalls were stressed with other key factors such as timing of shortfalls, recovery assumptions, and time to recovery. CareEdge Ratings has found that the CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50%-1.00%.

Key risks, concerns and mitigants:

The securitisation transaction involves several risks, including credit risk from borrower defaults, commingling risk due to time lags in fund deposits, basis risk from differing interest rate benchmarks, prepayment risk from early principal repayments, servicer bankruptcy risk, legal risk regarding the validity of receivable transfers, and counterparty risk involving transaction parties. These risks are factored while assigning rating, wherever needed, and partially mitigated through CE, separate record-keeping, credit rating/profile of the originator, transaction structuring, true sale of receivables, legal opinion from independent legal counsel. The transaction structure also has provision to change counterparties including trustee, and banker among others.

Applicable criteria

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

About the Originator / Servicer and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

Incorporated in 2002 as IKF Financial Services Private Limited, IKFHFL is registered as Housing Finance Company (HFC) and is primarily engaged in providing home loan products/refinance solutions. The company has presence across Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Maharashtra and Gujarat. IKFHFL is an experienced company in home loans and loan against property segment with over six years of experience and is active in the securitisation market with outstanding pools with initial size of the live securitised DA and co-lending pools as on September 30, 2025, standing at ~₹300 crore.

The company was initially promoted by the promoters of IKF Finance Limited. However, the company was acquired by IKF Finance Limited in December 2018. IKF Finance Limited is the group's major asset financing company and non-deposit taking NBFC primarily engaged in commercial vehicle, construction equipment and SME segment financing. As on June 30, 2025, IKFHFL has become wholly owned subsidiary of IKF Finance Limited.

Key financial indicators - IKFHFL

Brief financials (₹ crore)	FY24 (A)	FY25 (A)	H1FY26 (UA)
Total income (in Cr)	147.73	212.57	130.79
PAT (in Cr)	23.68	33.76	17.89
AUM (in Cr)	1049.95	1476.87	1683.42
On book gearing (x)	3.36	4.43	3.01
Tangible net-worth (in Cr)	213.15	246.52	371.09
Net NPA (%)	0.56	0.71	0.98
ROMA (%)	2.71	2.67	2.27
CAR (%)	32.00	27.79	37.79

A: Audited; UA: Unaudited; Note: these are latest financial results available

Key terms of Servicer Contract:

The servicing agreement has covered role of the originator as the Collection and Payment Agent (CPA) for the special purpose vehicle (SPV) in managing collections from underlying borrowers, who have consented to such assignment through provisions incorporated in the respective loan agreements. The servicer (originator) follows its standard procedures for collections, including recovery actions, and ensures timely transfers of funds to the SPV under an M+1 payment structure. The trustee monitors the sufficiency of funds for investor payouts one day prior to payout date and utilises CC in case of shortfall. The servicer is also submitting detailed reports on billing, collections (including prepayment), overdue amounts with aging thereof, cash flow schedules to the trustee and such other information as may be required by the trustee. The terms of the agreement have provisions for the appointment of an alternate servicer in case of servicer event of default.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass Through Certificates	-	27-03-2025	7.75 [^]	17-02-2044	32.16	CARE AAA (SO)
Pass Through Certificates	-	27-03-2025	9.50 [*]	17-02-2044	1.95	CARE AA (SO)

[^]Floating, linked to "Repo Rate"; ^{*}Fixed

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023
1	Pass Through Certificates	LT	32.16	CARE AAA (SO)	1)CARE AAA (SO) (10-Jun-25)	1)Provisional CARE AAA (SO) (27-Mar-25)	-	-
2	Pass Through Certificates	LT	1.95	CARE AA (SO)	1)CARE AA (SO) (10-Jun-25)	1)Provisional CARE AA (SO) (27-Mar-25)	-	-

LT- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass Through Certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-2850 1000 E-mail: pradeep.kumar@careedge.in	Analytical Contacts Vineet Jain Senior Director CARE Ratings Limited Phone: +91-22-6754 3456 E-mail: vineet.jain@careedge.in Sriram Rajagopalan Director CARE Ratings Limited Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Chirag Gambhir Associate Director CARE Ratings Limited Phone: +91-22-6754 3423 E-mail: chirag.gambhir@careedge.in
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About us:

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